



Glycerine (Asia-Pacific)

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Please click [here](#) for full details on the criteria ICIS uses in making these price assessments.

OVERVIEW

- **Demand wanes, thin discussions ahead of year-end festive holidays**
- **Spot offers fall to attract buying interest; weak downstream ECH market**
- **Suppliers with stocks in hand under pressure to clear inventories**

Asia's glycerine market continued to see downward price pressure as suppliers with stocks in hand were under pressure to clear their inventories.

Spot interest was weak, with downstream epichlorohydrin (ECH) producers continuing to hold out for lower prices given the sluggish ECH market.

Spot offers were cut to attract buying interest and stimulate demand, given the prevailing weak demand and ample supplies.

Market activities have been winding down prior to the year-end holiday season, with market players mostly having wrapped up their business for the fiscal year.

Fluctuations in the upstream crude palm oil (CPO) and palm kernel oil (PKO) markets weighed on demand, prompting buyers to restrict their purchases to smaller parcels on a need-to basis.

The present Middle East conflict has triggered concerns over the safety of the shipping route in the Red Sea, a major shipping lane for the energy-rich Middle East.

Recent assaults on commercial vessels in the Red Sea and Suez Canal by Yemen's Houthi militants could lead to a surge in freight costs for east-west trades in 2024 amid heightened risks stemming from the conflict in the Middle East.

Leading shipping firms such as CMA CGM, Hapag-Lloyd, Maersk and MSC have announced temporarily halts in shipping transits through the Suez Canal in the wake of the attacks.

The Red Sea trade route is strategically significant due to its role in connecting the Mediterranean Sea to the Indian Ocean, providing a shortcut for ships traveling between Europe and the countries in Asia and Africa.

The 193-km Suez Canal accounts for 12% of global trade, including 30% of all container movement.

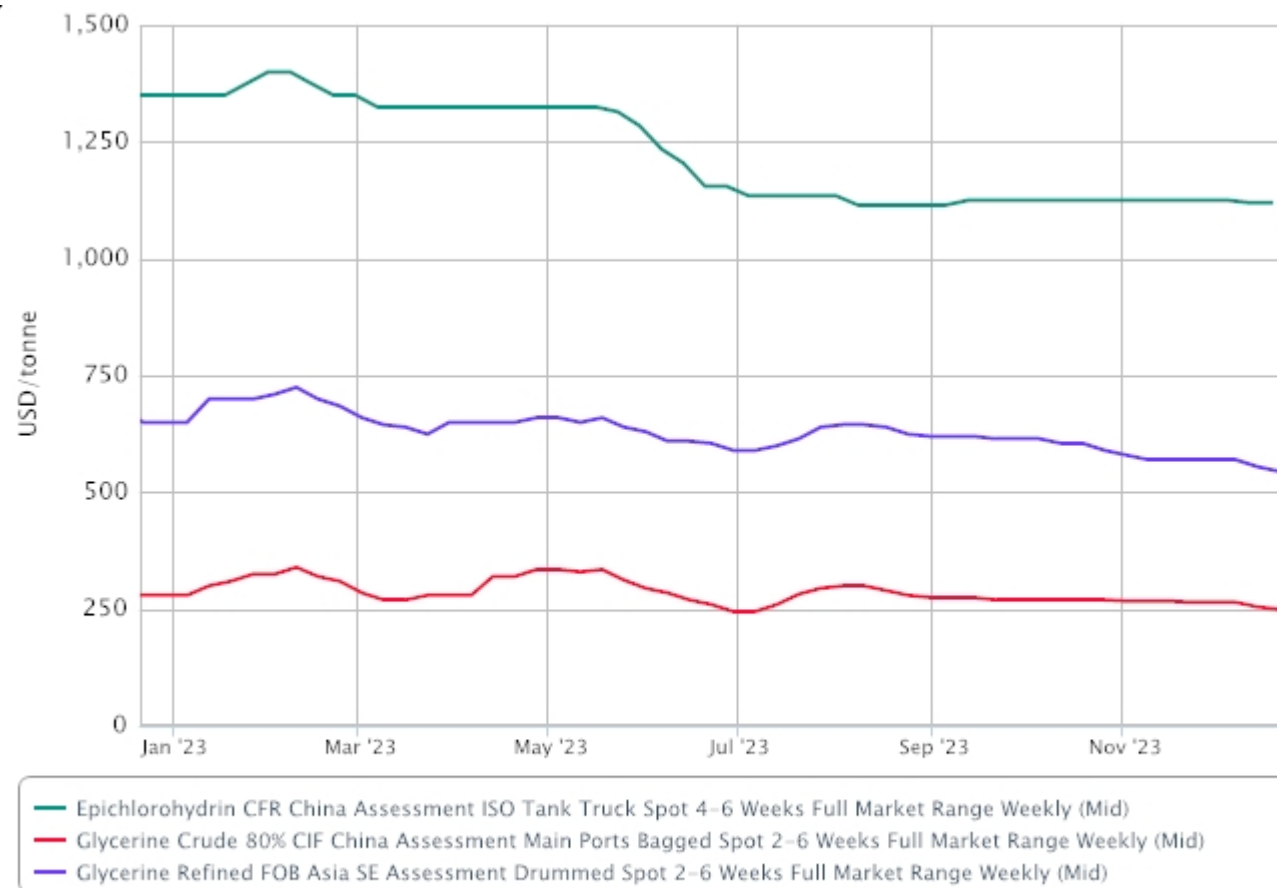
A significant amount of Europe's energy supply, palm oil and grain, which comes through the Suez Canal, also gets impacted by these attacks and by the disruptions thereafter.

The attacks on commercial vessels have thus heightened concerns about supply disruption in the Middle East, thereby supporting oil prices.

Any continued or significant hikes in the prices of crude oil WTI or Brent are likely to lend support to CPO, a vegetable oil used in the production of biodiesel.

In the push for renewal and sustainable energy, biodiesel blending mandates have been implemented in several countries in southeast Asia, including Indonesia.

Indonesia, the world's largest palm oil producer, implemented a B35 biodiesel blending mandate earlier in 2023, which requires that biodiesel be blended into 35% of gasoline.



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OUTLOOK

- Unclear outlook for early 2024 amid Mideast conflict
- Concerns over Red Sea shipping route safety may trigger surge in freight rates
- Volatility in upstream palm oil amid geopolitical tensions, macroeconomic headwinds

PRICES

SPOT PRICES

			Price Range		Four Weeks Ago	US CTS/lb
Glycerine Crude 80%						
CIF China Main Ports Bagged	USD/tonne	-5	245-255	-5	260-270	11.11-11.57
Glycerine Refined						
CFR NE Asia Drummed	USD/tonne	-20	530-620	n/c	560-640	24.04-28.12
CFR China Drummed	USD/tonne	-20	530-620	n/c	560-640	24.04-28.12
FOB SE Asia Drummed	USD/tonne	-20	510-580	n/c	540-600	23.13-26.31

Refined glycerine

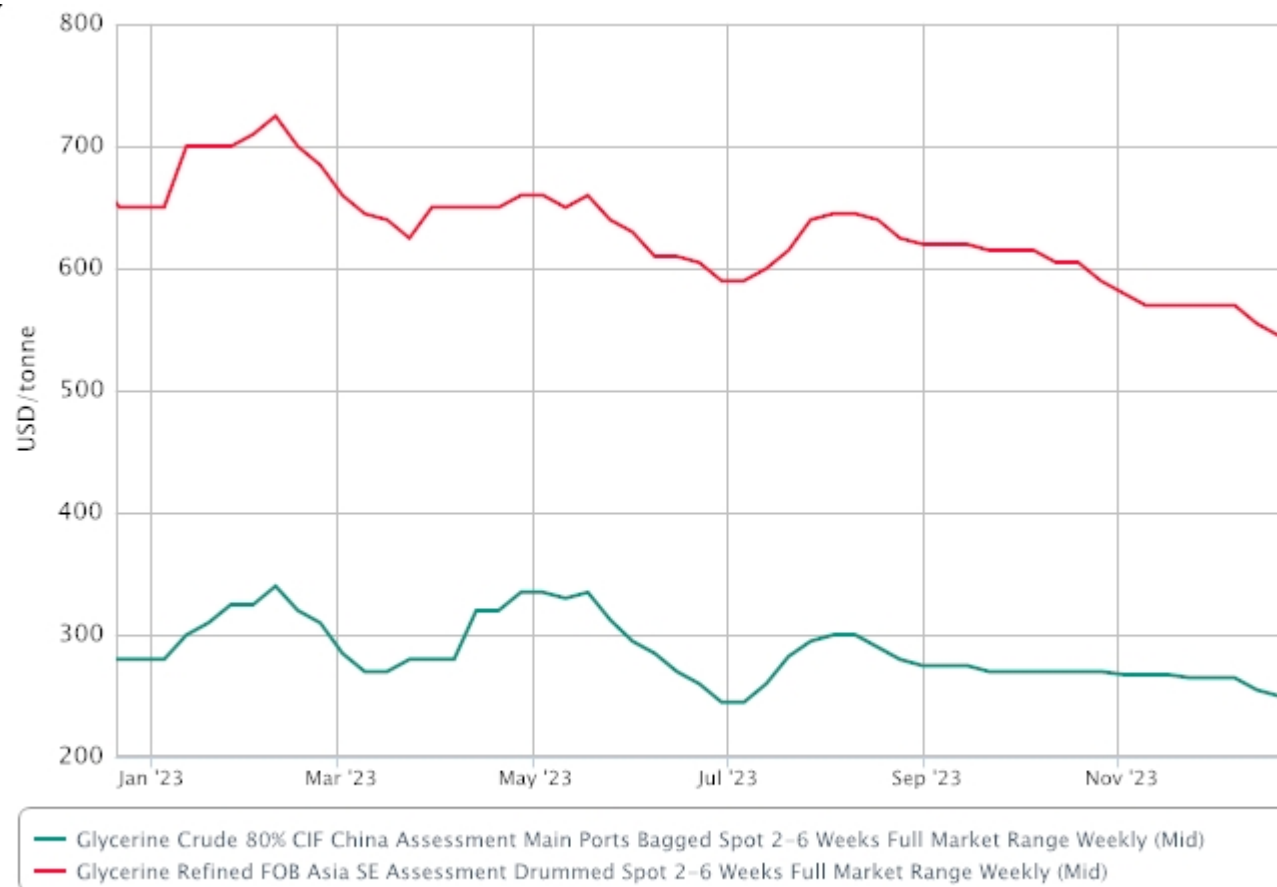
Spot prices were flat to soft on prevailing weak demand.

Bids from downstream ECH makers continued to fall, with buyers continuing to hold out for lower prices amid bearish market sentiment and ample supplies.

Indonesia-origin spot material was sold at \$510/tonne FOB SE Asia for January 2024 drummed shipments for industrial ECH applications.

Malaysia-origin spot product was quoted at a minimum of \$580/tonne FOB SE Asia due to higher production and feedstock costs.

Discussions were mostly at around this level for the downstream home personal care (HPC) and food sectors.



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Crude glycerine

Spot prices continued to slip lower on tepid demand for 100% pure vegetable glycerine product from Brazil.

Trades were done at \$245-255/tonne CIF China January 2024 and February 2024 shipments to China.

China buying indications slipped to \$240-245/tonne CIF China for spot product from Brazil due to sluggish domestic market conditions and ample supplies from southeast Asia.

However, sellers were unwilling to unload at below \$255/tonne CIF China for Brazil material.

Product from Brazil takes about 5-8 weeks for the product to be shipped to China.

Product from Brazil or Latin America is typically priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

Crude glycerine from southeast Asia is typically at a higher 85% purity level.

Its duty-free status and quick delivery time of about a week allows it to command a premium.

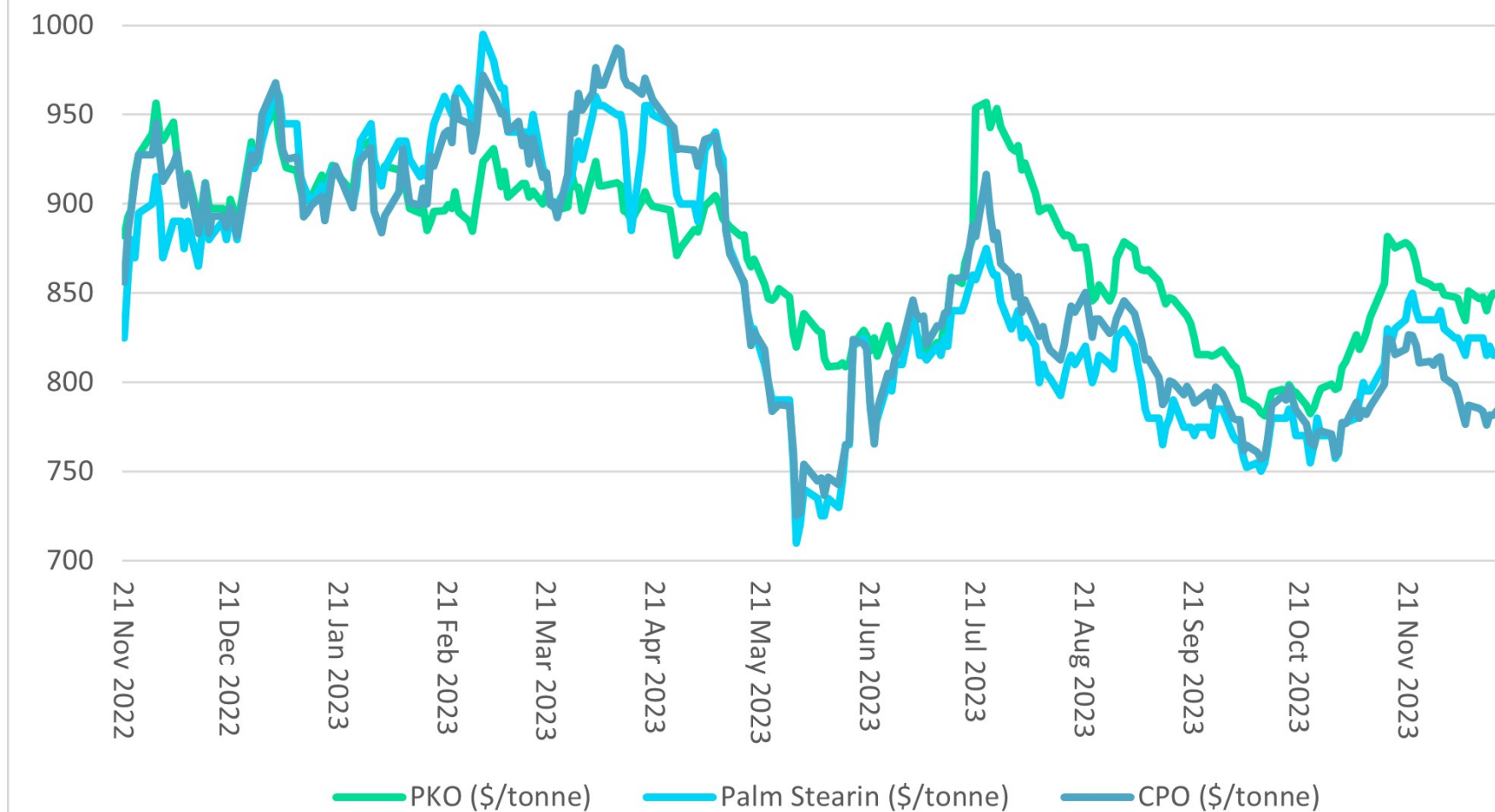
Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China were not taken into consideration in the assessment.

Spot product from southeast Asia is typically more expensive due to its shorter delivery time frame and higher purity level.

UPSTREAM

CPO vs PKO vs Palm Stearin Prices



Product	Delivery	19 Dec	12 Dec
CPO	DEL, south Malaysia (M\$)	3,720.00	3,670.00
PKO	DEL, south Malaysia (\$)	850.59	847.57
Palm Olein	FOB, Malaysia (\$)	827.50	822.50
Palm Stearin	FOB, Malaysia (\$)	825.00	825.00

PFAD	FOB, Malaysia (\$)	710.00	725.00
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All prices are on a per tonne basis.

Source: Matthes & Porton

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